

7/4/20

Chapter - Introduction

I Questions & Answers

Q1 Define the following terms:-

(i) Economics

(ii) Economy

(iii) Economic activities

(iv) Production

(v) Consumption

(vi) Investment

(vii) Scarcity

Q2 Why do we study economics?

Q3 You have unlimited wants and limited resources to satisfy them. Explain this statement with 2 examples.

Q4 Distinguish between economic and non-economic activities.

Q5 Distinguish between macro and micro economics.

Q6 Explain briefly the different concepts of economics evolved till date.

1-i-Ans It is the study of how people use limited resources to satisfy their wants.

ii-Ans It is an institution under which all economic activity occurs.

iii-Ans It refers to those activities, which are undertaken to earn a living.

iv-Ans It is an economic activity which includes all activities undertaken to produce goods and services for generation of income and satisfy human needs.

v-Ans It is an economic activity which deals with the use of goods and services for the satisfaction of human needs.

vi-Ans The money is a economic activity in exchange of returns.

vii-Ans Refers to the limitation of supply in relation to demand for a commodity.

2-Ans We study economics to understand how humans, as rational beings, manage the problem of scarcity to satisfy their needs.

3-Ans Human wants are unlimited because satisfy one desire usually leads to another. However the resources needed to fulfill them take time, money and raw-materials are finite.

(i) A student: wants to study and enjoy his/her hobby while he only has 2 hours of free time.

(ii) A city: A government wants new parks and better roads but has a limited tax budget.

4-Ans Distinguish between economic and non-economic activity.

	Basis	Economic Activity	Non Economic Activity
(i)	Objective	Performed to earn money and create wealth.	Performed for self satisfaction or social duty.
(ii)	Measurement	Can be valued in monetary terms.	Cannot be valued in the term of wealth / money.
(iii)	Result	leads to production of goods and services	Results in emotional pleasure or emotional fulfillment.

5-A→	Basis	Microeconomics	Macroeconomics
	unit of study	Analyse individual units like single consumer, firm or industry	Analyzes the entire economy as a whole, focusing on aggregated.
	Objective	To determine the price of a commodity or factor of production	To determine the income and employment level of a country.

6-A→ Different concepts of economics evolved till date are as following:

(i) wealth definition (Adam Smith)

"Economics is the science of wealth"

In everyday language wealth just means having a lot of money. However in economics, the term 'wealth' has a much more specifying meaning.

(ii) welfare definition (Alfred Marshall)

"Economics is a study of man in the ordinary business of life. It enquires how he gets his income and how he uses it."

Economics is not only about study of wealth but also about study of man.

(iii) Scarcity Definition (Lionel Robbins)

"Economics is the science which study human behaviours as a relationship between ends and scarce means which have alternative users."

According to Robbins, human wants are unlimited but resource available to satisfy them are limited. Moreover, limited resources have alternative uses.

(iv) Growth oriented Definition (Prof. Anthony Samuelson)

"Economics is the study of how man and society choose with or without the use of money to employ scarce production resources, which could have alternative uses, to produce various commodities over time and distribute them for consumption now and Samuelson definition tells that it is a modified version of scarcity definition."

Q7 Define statistics in single and plural sense.

Ans (i) Singular: Statistics deals with the collection of organisation, presentation and analysis & interpretation of the quantitative information.

(ii) Plural: It means a collection of numerical facts.

Q8 What are the limitations of studying statistics?

Ans The limitations of studying statistics are:-

- * Statistics does not study quantitative phenomenon
- * Statistics deals only with aggregates of facts and no importance is attached to individual items.
- * Statistics can be misused by ignorant or wrongly motivational persons.
- * It is essential that data must be uniform and homogenous.

Q9 What do you mean by distrust of statistics? What caused it and how can it be removed?

Ans Distrust of statistics means lack of confidence in statistical methods and statements.

The reason for this distrust is improper use of statistical tools by unscrupulous, irresponsible, inexperienced and dishonest persons.

To overcome the distrust the following can be done:

- * Only experts should make use of the statistics.
- * Data should be used after a careful enquiry.
- * The user should be impartial, etc.

Q10 Statistics is affected by multiplicity of causes. Explain this with the help of an example.

Ans Numerical figures are influenced by a variety of factors. It is not an easy job to study the effects of any one factor separately by ignoring other factors.

Eg: Statistics of production of a crop, say rice is affected by the rainfall, fertilizers, seeds, method of cultivation, etc.

Q10 The government and policy makers use statistical data to formulate suitable policies of economic development. Illustrate with two examples.

Ans The government and policy makers require greater information in the form of numerical figures to fulfill the welfare objectives.

- * Popular statistical such as time series analysis, index numbers, forecasting and demand analysis are extensively used in formulating economic policies.

(i) For eg, while implementing new illution programmes, government makes use of various statistical data to determine the pros and cons of earlier allocation programme.

(ii) While forming budget, Government and policy makers make extensive use of economic survey and data of previous years, to formulate budget for the coming financial year.

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